

# Performance Management Systems: A Comparative Secondary Research Report

## Abstract

Performance management is no longer seen only as an annual appraisal exercise. Many organisations now try to connect goal setting, feedback, development and reward decisions more closely with day-to-day work. This report studies three well-known cases: Adobe, Microsoft and Infosys. It is based on secondary sources such as company reports, published articles and academic literature. Adobe replaced annual ratings with its Check-in process. Microsoft stopped stack ranking, while Infosys introduced iCount and moved away from the bell curve. The cases show that companies are trying to reduce the problems created by forced ranking and delayed feedback. However, a new PMS cannot work only because it is digital or because ratings are removed. Manager capability, clear goals and trust in the process remain important. The report concludes that organisations should design PMS according to the nature of their work rather than copy a practice used by another company.

**Keywords:** performance management system, appraisal, feedback, bell curve, Check-in, iCount

## 1. Introduction

A Performance Management System (PMS) helps an organisation clarify what employees are expected to do, review their contribution and support their development. In many companies, employees set goals at the beginning of the year and meet their manager at the end of the year for an appraisal. The rating given in that meeting can affect salary increase, promotion and training opportunities.

The annual appraisal is still used in many organisations, but it has been questioned for some time. Employees may receive feedback too late to improve their work during the

same year. Managers may also focus on completing forms and ratings instead of discussing work problems. Justin and Joy [1] note that performance management research has increasingly moved towards regular feedback, development and a more continuous view of performance.

The bell-curve or forced-distribution system is another area of debate. Under such a system, managers are required to place employees in fixed categories, even if the whole team has performed well. This can be difficult in jobs where employees depend on each other. Moon, Scullen and Latham [2] suggest that forced distribution can create some short-term performance benefits, but it can also reduce helping behaviour and create unhealthy competition when employees feel that the process is unfair.

This report compares the PMS changes made by Adobe, Microsoft and Infosys. These cases were selected because they show different responses to the limits of traditional appraisal. Adobe changed the whole review experience through Check-in. Microsoft ended stack ranking. Infosys introduced a system that linked individual contribution with continuous feedback. The report does not suggest that one model will suit every organisation. Instead, it looks at what can be learned from each case.

## **2. Objectives and Research Questions**

The objectives of this report are:

1. To understand the problems associated with annual appraisal and forced-distribution systems.
2. To examine the PMS changes made by Adobe, Microsoft and Infosys.
3. To identify lessons for organisations planning to redesign their performance management system.

The report addresses the following questions:

1. What problem did each company try to solve through PMS redesign?
2. What change did each company make?
3. What should organisations consider before adopting a similar practice?

### **3. Methodology and Scope**

This is a qualitative secondary research report. It uses published material rather than surveys or interviews conducted by the researcher. The main sources are company websites, annual reports, sustainability reports, HR publications and two academic articles. Company sources were used for facts about Adobe and Infosys. For Microsoft, contemporary reporting was used because detailed internal PMS documents are not publicly available.

There are some limits to this method. Public sources usually explain a company change in a positive way and may not show all employee reactions. It is also not possible to prove that a PMS change alone caused a business result such as lower turnover. Therefore, the report treats the company cases as examples of practice, not as proof that one specific method will produce the same result in every organisation.

### **4. Why Organisations Are Rethinking Traditional Appraisal**

Traditional appraisal often tries to do too many things in one meeting. The manager has to review past performance, discuss career growth, decide a rating and sometimes explain the effect on salary. These discussions do not always work well together. An employee may hesitate to speak openly about a weakness if the same meeting decides a pay increase. The manager may also avoid a difficult development discussion because the focus is mainly on the final rating.

Forced distribution creates a separate problem. It can help managers differentiate performance where every employee is rated highly. But it can also become unfair when a team has worked well together and some members still have to be placed in a low category. This is particularly unsuitable for work involving project teams, customer delivery and knowledge sharing. In such work, employees are expected to support colleagues, not compete for a fixed number of high ratings.

Regular feedback is often presented as the solution. It can help an employee know where improvement is needed while the project is still running. Still, frequent feedback by itself is not enough. If goals are unclear or the manager gives only general comments, employees may not know what they need to improve. A useful PMS needs timely discussion, but it also needs evidence, consistency and fair judgement.

## **5. Case Analysis**

### **5.1 Adobe: Check-in**

Adobe introduced Check-in in 2012 after employees found the annual review process bureaucratic and frustrating. According to Adobe, the earlier system included ratings and stack ranking for compensation. The company felt that this created barriers to teamwork and that employees should not have to wait until the end of the year for feedback [3].

Check-in is an ongoing two-way conversation between the employee and manager. It covers current performance, goals, career growth, strengths and areas for improvement. Adobe later developed a digital platform where employees and managers can record goals, feedback and development discussions. The official Check-in page also states that performance conversations happen quarterly, while goals can be reviewed and updated during the year [3].

One widely reported outcome was a reduction in voluntary turnover. Deloitte reported that Adobe saw a 30% reduction in voluntary turnover after the initial rollout [4]. This is an encouraging result, but it should not be read as proof that Check-in alone caused the fall. Retention can also be affected by pay, leadership, job opportunities and conditions in the labour market.

For this report, Adobe's case shows the value of replacing one large annual discussion with regular conversations. The model may work well in a fast-changing environment, but it also puts responsibility on managers. Managers need to set expectations clearly and be comfortable discussing performance throughout the year.

## 5.2 Microsoft: Ending Stack Ranking

Microsoft is often discussed in PMS literature because of its earlier stack-ranking system. Employees were compared with their colleagues and managers had to fit them into a distribution of ratings. In November 2013, Microsoft ended the system and no longer required managers to grade employees against one another on a one-to-five scale [5].

The criticism of stack ranking was connected with its impact on collaboration. Employees may become less willing to share ideas if they think a colleague's success will reduce their own chance of receiving a high rating. This is a serious issue in a technology company where product development depends on teams and shared knowledge. Contemporary reporting also noted that the older bell-curve system could rank an employee below colleagues even when the team as a whole had performed well [6].

Microsoft's case should not be overstated. The public sources confirm that the company ended stack ranking, but they do not give a complete picture of every later review practice used by different teams. The key lesson is simpler: a comparative rating system can damage teamwork when employees feel they are competing with each other rather than working towards a common result.

## 5.3 Infosys: iCount

Infosys provides an Indian example of PMS redesign in a very large IT-services organisation. During the 2015-16 financial year, Infosys introduced iCount as a renewed performance management system. The company reported that it moved away from the bell curve to focus on individual contribution and continuous feedback [7].

Later Infosys reports describe iCount as a framework and application that supports goals, feedback and career development. Employees can add goals and update their progress, while managers provide feedback and development support. The ESG report also states that managers may consider client stakeholder feedback, although this is not mandatory. Employees may seek and share feedback with colleagues as well [8][9].

This approach is relevant for a project-based organisation. An employee may work with different managers, clients and teams during a year. A single annual discussion may not capture all those contributions. At the same time, using feedback from many people can create another challenge. The organisation must decide whose feedback will be considered, how the evidence will be checked and how an employee can raise a concern about an unfair assessment.

## **6. Discussion**

The three cases have one common direction: they reduce reliance on a single annual rating exercise. Adobe made ongoing discussion central to its system. Infosys combined continuing goals and feedback through iCount. Microsoft mainly removed a forced comparative ranking requirement. Their approaches are different, but all three cases recognise that performance cannot always be understood properly through one meeting at the end of the year.

The cases also show that PMS design should depend on the work situation. Adobe's method depends on regular conversations between managers and employees. Infosys uses a technology-supported system that suits a large workforce working on multiple projects. Microsoft's example is useful where internal competition may affect teamwork. It would be risky for another organisation to copy any one of these systems without considering its own culture, manager capability and nature of work.

Another important point is that removing the bell curve does not mean removing accountability. Organisations still need to recognise strong contribution, identify weak performance and make fair reward decisions. The difference is that these decisions can be based on clearer goals, regular evidence and timely feedback rather than on a fixed quota of high and low ratings.

## 7. Recommendations

Based on the cases and the literature, the following recommendations are suggested:

- 1. Review goals during the year.** Goals should be linked to the employee's role and changed when project needs change.
- 2. Keep development discussion meaningful.** Where possible, organisations should create space for career and learning discussions that are not only about salary or ratings.
- 3. Use forced distribution carefully.** It may create problems in jobs that need collaboration. If it is used, the criteria should be clear and employees should have a way to question an unfair decision.
- 4. Build manager capability.** A PMS will not improve simply because a company introduces an app or removes ratings. Managers need training in goal setting, feedback and difficult conversations.
- 5. Use multi-source feedback with clear rules.** Feedback from clients or colleagues can be useful in project work, but it should be related to actual work and checked properly.
- 6. Review the new process after implementation.** Organisations should ask whether employees understand the system, whether managers can use it properly and whether the feedback is helping people improve.

## 8. Conclusion

Adobe, Microsoft and Infosys did not follow one common formula. Adobe replaced annual ratings with Check-in conversations. Microsoft stopped stack ranking. Infosys introduced iCount and moved away from the bell curve. Their experiences suggest that performance management works better when employees receive feedback while work is going on and when the process does not unnecessarily weaken teamwork.

At the same time, PMS redesign is not only about removing ratings or introducing software. The system has to fit the organisation. It should give employees clear expectations, managers enough support and everyone confidence that decisions are fair.

In this sense, the main lesson from the cases is practical: a good PMS should help people improve their work and should also support the wider goals of the organisation.

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